

26TRCV02076 26TRCV02076

County: los-angeles

Division: Civil Law and Motion

Department: E

Hearing date: 2026-08-12

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Case Number: 26TRCV02076 Hearing Date: August 12, 2026 Dept: E

Superior Court of California

County of Los Angeles

Southwest District

Torrance Dept. E

GEORGE

HON, an individual; HON M.D. LLC, a California limited liability company; and

QUEST MEDICAL LLC, a California limited liability company,

Plaintiff,

Case No.:

26TRCV02076

vs.

[Tentative]

Sustained with leave to amend

TOTAL

RENAL CARE, INC., a California corporation, DAVITA, INC., a Delaware corporation, PALO DIALYSIS, LLC a Delaware corporation,

Defendant.

Hearing

Date: August
12, 2026

Moving Parties: Defendants DaVita, Inc., Total Renal
Care, Inc., and Palo Dialysis, LLC

Responding Party: Plaintiffs Dr. George Hon, Hon MD LLC, and
Quest Medical LLC

HEARING: Demurrer

The
Court considered the moving, opposition, and reply papers.

RULING

The Court sustains the
Demurrer with leave to amend.

BACKGROUND

On June
9, 2026, Plaintiffs Dr. George Hon, Hon MD LLC, and Quest Medical LLC filed the
Complaint against Defendants DaVita, Inc., Total Renal Care, Inc., and Palo
Dialysis, LLC alleging causes of action for fraud, breach of implied covenant
of good faith and fair dealing, and breach of fiduciary duty.

On July 15, 2026,
Defendants filed the Demurrer.

On July
29, 2026, Plaintiffs filed the Opposition.

On August 5, 2026,
Defendants filed the Reply.

JUDICIAL
NOTICE

The Court may take judicial notice of records of (1) any court of this state or (2) any court of record of the United States or of any state of the United States. (Evid. Code § 452 subd. (d).) The Court may also take judicial notice of “Official acts of the legislative, executive, and judicial departments of the United States and of any state of the United States.” (Evid. Code § 452 subd. (c).)

Defendant requests that the Court take judicial notice of true and correct copies of publicly available images on the Google Maps website which show the location 10211 Long Beach Boulevard, Lynwood, California 90262 as it appeared in February 2021. These images were obtained on July 9, 2026, by first accessing the website www.google.com/maps.

The Court denies Defendants' request for judicial notice as “simply because information is on the Internet does not mean that it is not reasonably subject to dispute.” (Huit v. Southern California Gas Co. (2010) 188 Cal.App.4th 1586, 1650 fn.10.) Furthermore, while the Court has taken judicial notice of maps from Google Maps, the Court has generally drawn the line at photographs taken from Google Maps. (In re Gary F. (2014) 226 Cal.App.4th 1076, 1078 fn. 2.)

LEGAL STANDARD

A demurrer can be used only to challenge defects that appear on the face of the pleading under attack or from matters outside the pleading that are judicially noticeable. (Blank v. Kirwan (1985) 39 Cal.3d 311, 318.) “To survive a demurrer, the complaint need only allege facts sufficient to state a cause of action; each evidentiary fact that might eventually form part of the plaintiff's proof need not be alleged.” (C.A. v. William S. Hart Union High School Dist. (2012)

53 Cal.4th 861, 872.) For the purpose of testing the sufficiency of the cause of action, the demurrer admits the truth of all material facts properly pleaded. (Aubry v. Tri-City Hospital Dist. (1992) 2 Cal.4th 962, 966-967.) A demurrer “does not admit contentions, deductions or conclusions of fact or law.” (Daar v. Yellow Cab Co. (1967) 67 Cal.2d 695, 713.)

A pleading is uncertain if it is ambiguous or unintelligible. (Code Civ. Proc., § 430.10, subd. (f).) A demurrer for uncertainty may lie if the failure to label the parties and claims renders the complaint so confusing defendant cannot tell what he or she is supposed to respond to. (Williams v. Beechnut Nutrition Corp. (1986) 185 Cal.App.3d 135, 139, fn. 2.) However, “[a] demurrer for uncertainty is strictly construed, even where a complaint is in some respects uncertain, because ambiguities can be clarified under modern discovery procedures.” (Khoury v. Maly’s of California, Inc. (1993) 14 Cal.App.4th 612, 616.)

DISCUSSION

Meet and Confer

Before filing a demurrer, “the demurring party shall meet and confer in person or by telephone with the party who filed the pleading that is subject to demurrer for the purpose of determining whether an agreement can be reached that would resolve the objections to be raised in the demurrer.” (Code Civ. Proc., § 430.41, subd. (a).)

On July 8, 2026, the parties conferred via email regarding the instant demurrer. Therefore, the court finds that Defendants have satisfied the meet and confer requirements.

Statute of Limitations

Defendants contend that the entire Complaint is untimely under the 3-year statute of limitations for fraud. Because the applicable limitations period turns on the gravamen of each cause of action, Defendants argue that the Court must look to the true nature of Plaintiffs’ claims rather than their labels. (E-Fab, Inc. v. Accountants, Inc. Servs. (2007) 153 Cal.App.4th 1308, 1315.) Plaintiffs assert eight causes of action, six expressly labeled as fraud and two more that sound in fraud because they incorporate and arise from the allegations that Defendants fraudulently induced the Opham contracts, falsely promised to perform them, and concealed the St. Francis facility. On that reading, the gravamen of every count is fraud, so Defendants maintain that a three-year limitations period governs the entire Complaint. (Vera v. REL-BC, LLC (2021) 66 Cal.App.5th 57, 64-68.)

Defendants further argue that a fraud claim accrues, and the limitations period begins to run, when the plaintiff suspected or should have suspected that an injury was caused by wrongdoing. (Vera, supra, 66 Cal.App.5th 57, 68-69.) They emphasize that the period starts once a plaintiff has information that would put a reasonable person on inquiry, that the plaintiff need not be aware of the specific facts necessary to establish a claim, and that wrong and wrongdoing are understood in their lay rather than legal sense, so that a fraud claim accrues even without actual knowledge when the plaintiff knows facts that should raise suspicion and trigger a further investigation. (Id. at 69.)

Applying that standard, Defendants point to the St. Francis facility, which they describe as the admitted heart of Plaintiffs' claim that Opham was abandoned in bad faith for improper and fraudulent reasons. Defendants argue that by no later than early 2021 Plaintiffs were on notice and reasonably should have suspected the wrongdoing they now allege, namely that DaVita was acquiring the Compton Facility's assets and establishing the Opham business while, at the same time, operating a competing venture at the nearby St. Francis facility. Defendants add that the OA itself states that TRC and its affiliates could operate competing dialysis centers. They further note that Dr. Hon is a local nephrologist who treats patients at six DaVita dialysis centers in south Los Angeles within a five-mile radius of the Opham facility, so he could and should have discovered the nearby St. Francis facility in early 2021. (Compl. ¶ 19.)

Because the St. Francis facility was open, publicly visible, and discoverable in early 2021, and because Plaintiffs did not bring their claims within three or even four years after that date, Defendants conclude that the entire Complaint is untimely and that dismissal is required.

In opposition, Plaintiffs respond that the Demurrer wrongly assumes that discoverability of the St. Francis facility starts the limitations period, and they argue that a claim instead accrues only when the cause of action is complete with all of its elements of wrongdoing, harm, and causation. (People v. Experian Data Corp. (2024) 106 Cal.App.5th 799, 807-808.) They contend their claims did not accrue until Defendants decided to abandon the Opham unit, because there was no damage before then, and Defendants did not disclose the abandonment until June 29, 2023.

Plaintiffs argue the gravamen is tortious conduct, namely fraud and breach of fiduciary duty. (City of Atascadero v. Merrill Lynch, Pierce, Fenner & Smith, Inc. (1998) 68 Cal.App.4th 445, 482.) They note the three-year fraud period runs only from discovery of the facts constituting the fraud, and that the discovery rule postpones accrual until the plaintiff discovers or should discover the fraud. They add that breach of fiduciary duty carries a four-year period likewise subject to the discovery rule. (Jogani v. Jogani (2026) 118 Cal.App.5th 823, 856.)

Plaintiffs further argue the limitations issue is normally a question of fact for the trier of fact, becoming one of law only when reasonable minds can reach a single conclusion, which they say is not the case here. They contend what matters is when Plaintiffs actually knew or reasonably suspected Defendants' fraudulent intent, not what Defendants believe Plaintiffs should have known, and that Dr. Hon did not learn of St. Francis until in or about February 2025 and had no cause to suspect misconduct until the June 29, 2023 abandonment. The signage and proximity mean nothing, they argue, if Dr. Hon never saw or knew of the facility, and the demurrer offers no contrary evidence.

The statute of limitations for fraud is 3 years. (Code Civ. Proc., § 338 subd. (d).) "Generally speaking, a cause of action accrues at the time when the cause of action is complete with all of its elements." (Fox v. Ethicon Endo-Surgery, Inc. (2005) 35 Cal.4th 797, 806.) "An important exception to the general rule of accrual is the discovery rule, which postpones accrual of a cause of action until the plaintiff discovers, or has reason to discover, the cause of action... A plaintiff has reason to discover a cause of action when he or she has reason at least to suspect a factual basis for its elements." (Fox, supra, 35 Cal.4th 797, 807.) "A plaintiff whose complaint shows on its face that his claim would be barred without the benefit of the discovery rule must specifically plead facts to show (1) the time and manner of discovery and (2) the inability to have made earlier discovery despite reasonable diligence." (Id. at 808)

Here the Complaint alleges that "in or about the year 2021, the DaVita Defendants entered into a plan, agreement, arrangement and conspiracy to further dominate the renal dialysis business as to which they hold a thirty (35) percent market share by

fraudulently acquiring renal dialysis facilities based on the intentional misrepresentation and active concealment of the fact that the DaVita co-conspirators would continue to operate the acquired facilities and would retain one or more of the physicians who were nephrologists to act as the medical directors for such acquired facilities.” (Complaint ¶ 17.) The Complaint also alleges that in July 2021, Defendants and Plaintiffs entered into an agreement for Defendants to purchase Plaintiffs' dialysis facilities. (Complaint ¶ 26-32.) Last, the Complaint alleges that Defendants intentionally misled Plaintiffs into believing that Defendant would “take all reasonable and necessary steps to develop Opham’s business” and that “had Plaintiffs known the actual facts, they would not have entered into the Contribution Agreement, the Operating Agreement or the Medical Director Agreement or made the capital contribution to Opham.” (Complaint ¶ 50, 53.) Thus, the Court finds that all the alleged elements of fraud were present in 2021, as Defendants' misrepresentation, Plaintiff's reliance in entering the contracts, and damages were present. While Plaintiffs argue damages did not occur until the abandonment of the facility, the damages occurred when the contract was entered into, as it was allegedly entered into based on fraud. (See, *WA Southwest 2, LLC v. First Am. Title Ins. Co.* (2015) 240 Cal.App.4th 148, 156.) Consequently, the Complaint is untimely on its face, and the Court must look to the delayed discovery rule.

The Complaint's discovery allegations read, “In or about February 2025, Plaintiffs discovered, for the first time, that on or about March 29, 2021, Defendant Palo had opened a dialysis center known as St. Francis Dialysis located at 10211 Long Beach, Boulevard, Lynwood, California 90262 (the “St. Francis Dialysis Center”), approximately three and half (3.5) miles away from the Opham facility.” (Complaint ¶ 20.) “The existence of the St. Francis Dialysis Center and its processing of licensing applications was within the exclusive knowledge of the DaVita Defendants and could not have been discovered by Plaintiffs. In addition, it was not until on or about June 29, 2023 that the DaVita Defendants informed Plaintiffs that the Opham facility was being abandoned.” (Complaint ¶ 22.)

Thus, while the Complaint alleges that the existence of the St. Francis center was within the exclusive knowledge of Defendants and could not have been discovered by Plaintiffs, allegations under the discovery rule must be pled with particularity, and “could not have been discovered by Plaintiffs” is conclusory. Thus, Plaintiffs have failed to plead that earlier discovery was not possible with particularity. (Complaint ¶ 22; *Fox*, supra, 35 Cal.4th 797, 808.) Thus, the delayed discovery allegations are

deficient, and the claims are untimely.

Last, the Court also finds that the breach of implied covenant and fiduciary duty claims sound in fraud, as they are based on the same factual misrepresentations, and thus are also governed by the three-year statute of limitations. (*City of Vista v. Robert Thomas Securities, Inc.* (2000) 84 Cal.App.4th 882, 889.)

Therefore, the Court sustains the Demurrer with leave to amend.